

 Masterclass Day 25

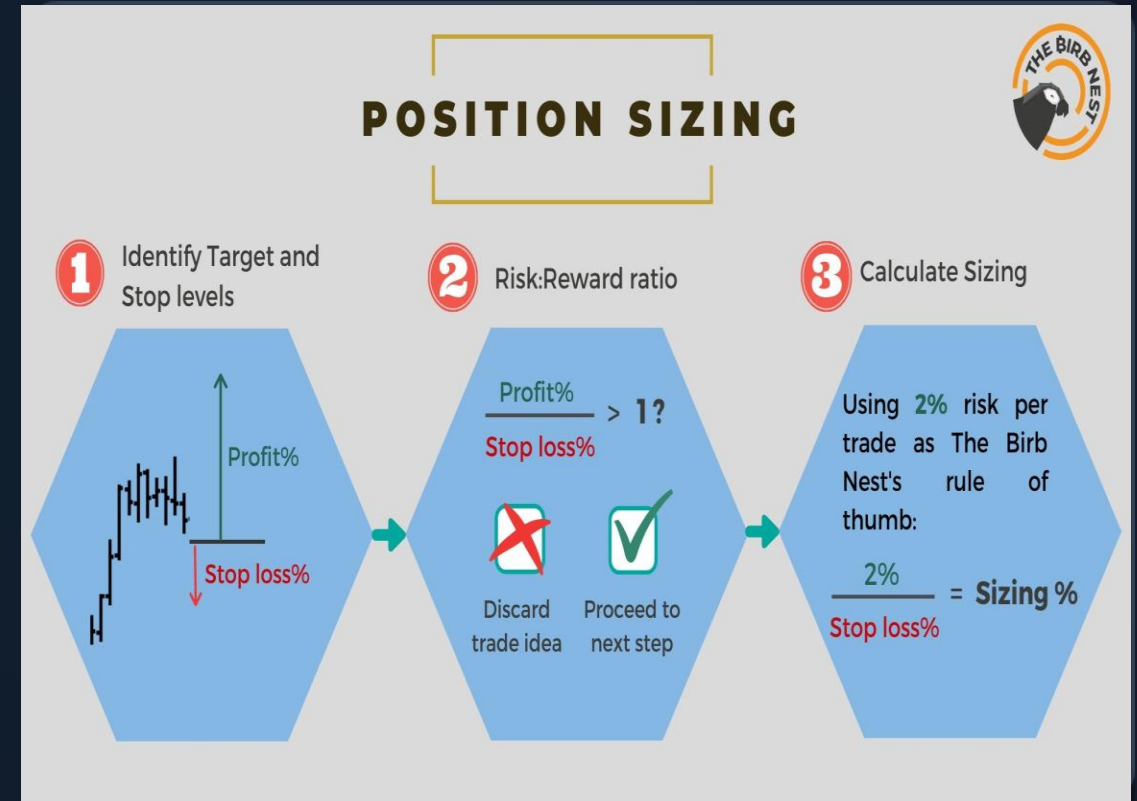
Mastering Risk Management

The ultimate survival shield: Position sizing, stop losses, and psychological mastery in the markets.

The Foundation: **Position Sizing**

Position sizing is the calculation of **how much capital to risk** on a single trade, independent of your stock choice.

- » **The 1% Rule:** Professional traders never risk more than 1% to 2% of their total trading portfolio on any single trade.
- » **Capital Preservation:** Even if you suffer a 10-trade losing streak, your account remains virtually intact to fight another day.
- » **Bet Sizing:** Higher volatility stocks require smaller position sizes to keep total dollar risk constant.



The Safety Net: **Stop Loss**



Accepting Defeat Early

A stop loss is a pre-determined exit order that automatically cuts your losses when a trade moves against your thesis.

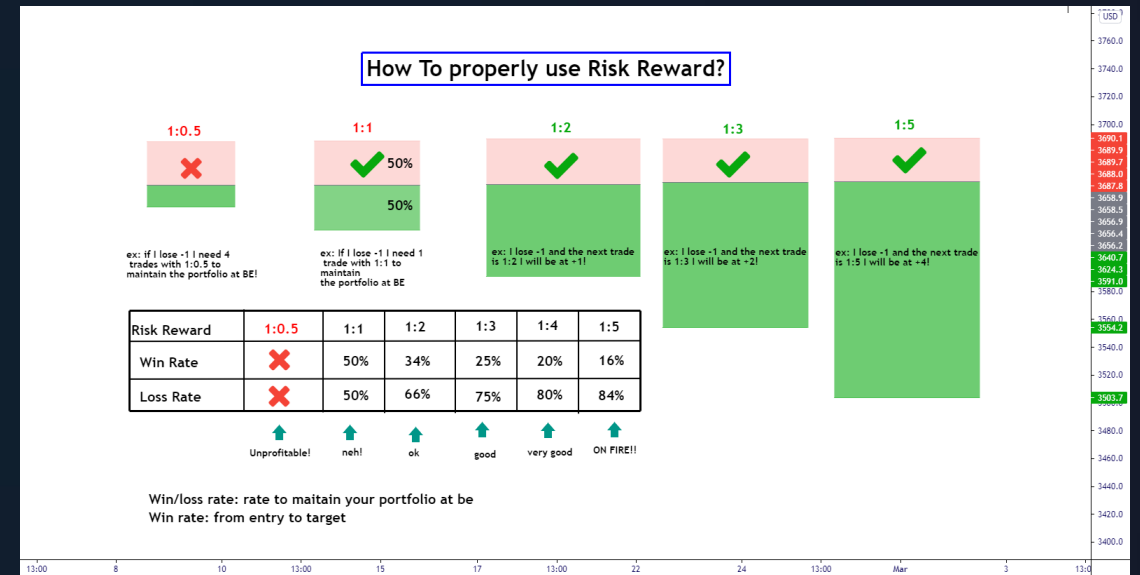
- » **Removing Emotion:** By pre-defining your exit, you prevent panic-driven hope and emotional paralysis.
- » **Technical Placement:** Always place stop losses below logical support or structural chart levels, never based on random dollar amounts.

Asymmetric Math: Risk Reward Ratio

The **Risk-Reward Ratio (RRR)** compares the potential profit of a trade against its potential loss.

$$RRR = \frac{\text{Potential Profit}}{\text{Potential Loss}}$$

The 1:2 or 1:3 Rule: If you risk ₹1,000, your target profit must be at least ₹2,000 to ₹3,000. With a 1:2 ratio, you can be wrong 50% of the time and still make consistent profits!



The Inner Battle: Trading Psychology

Fear & Greed

Markets are driven by human emotion. Fear makes you exit winning trades too early, while greed makes you hold losing trades hoping for a miracle.

Revenge Trading: Trying to instantly win back losses after a bad trade is the #1 account killer for beginners.

Discipline & Process

Professional traders treat trading like a boring business, not a casino.

Journaling: Documenting every trade, emotional state, and rule deviation is the only way to build lifelong market mastery.

Great Job on Day 25!

You have completed Day 25 - Derivatives.

Stay disciplined, protect your capital, and invest wisely!

 / @EarnJoyOfficial